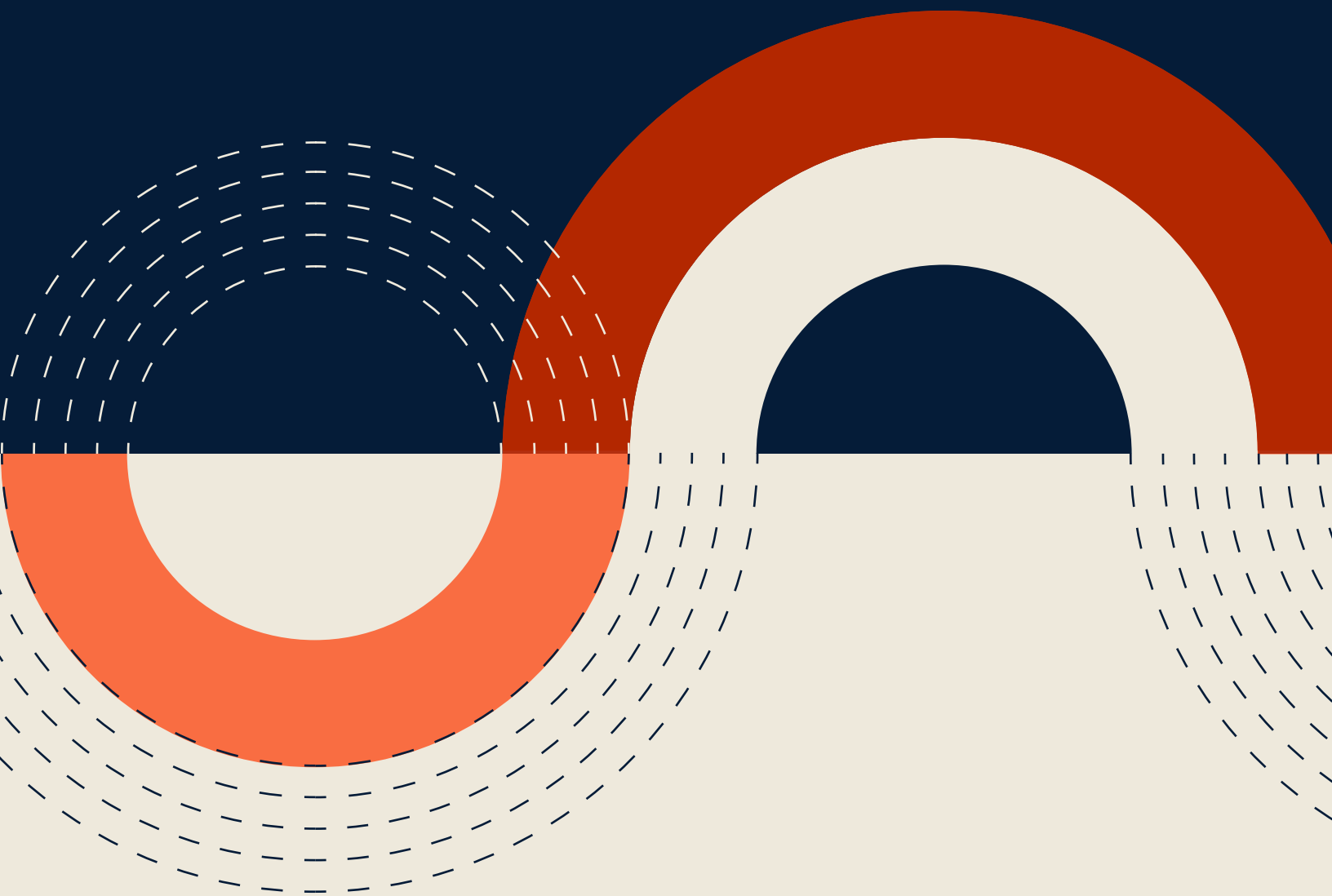


 GLOBAL

Distressed Credit Weekly Wrap



Bankruptcy Beat

Bankruptcy Beat is a weekly round-up of activity in key bankruptcy situations, culled from court filings, media reports, regulatory filings, company news releases, and other sources.

At Home Group files Chapter 11; \$600M DIP nets interim court approval

At Home Group on June 16 filed for Chapter 11 in bankruptcy court in Wilmington, Del., according to court filings.

The company said it has entered into a restructuring support agreement (RSA) with lenders holding more than 95% of the company's debt for "a prearranged restructuring that will eliminate substantially all of the company's nearly \$2 billion in funded debt."

According to court filings, under the RSA the company will convert its debtor-in-possession financing (DIP) to equity in the reorganized company.

In addition, the filings said, in light of lender support for the proposed restructuring, "A prolonged stay in Chapter 11 is unnecessary." Milestones under the DIP contemplate plan confirmation within four months.

According to the company's Chapter 11 petition, both the company's estimated assets and liabilities are in a range of \$1-10 billion, respectively.

Filings show the company's prepetition secured debt comprises a \$675 million ABL facility with about \$378 million outstanding, a \$600 million term loan facility with about \$579 million outstanding, senior secured notes with about \$300 million outstanding, "Cayman Notes" with about \$200 million outstanding, and "Exchange Notes" with about \$483 million outstanding.

The company also had \$58 million of senior unsecured notes outstanding.

The DIP

The company has a \$600 million DIP, comprising \$200 million in new money delayed-draw term loans (Tranche A) from an ad hoc group of lenders that holds about 96% of the company's pari first-lien obligations, along with a 2:1 roll-up (Tranche B) of \$400 million of existing senior secured debt.

The company, which said it had only \$1.6 million of cash on hand as of the petition, said the DIP "would provide the liquidity necessary to satisfy the [company's] operational

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needs and bridge the company through its existing liquidity trough."

Interim approval of the DIP, which according to a court order was granted on June 17, cleared the company to access \$75 million of the new money and provided for the roll-up \$150 million of prepetition debt. A final hearing on the DIP was set for July 14.

Interest under the facility is Term SoFr + 800 for Tranche A loans and Term SoFr + 400 for Tranche B loans, with all interest payable in kind. Fees include an upfront fee of 3% and an exit fee of 3% on funded Tranche A loans, a backstop fee of 5% paid in-kind on the new money portion, and an unused facility fee of 4% on Tranche A loans, also paid in-kind.

The DIP fronting lender is Barclays Bank, and GLAS USA LLC will act as administrative and collateral agent.

The DIP's milestone deadlines require, among other things, the filing of a reorganization plan within 21 days of the petition date, or by July 21; disclosure statement approval within 39 days after the filing of a plan (or by Aug. 15 at the outside); and plan confirmation within 60 days of disclosure statement approval (or by Oct. 14 at the outside).

Inflation, consumer trends and tariffs

According to the first-day declaration in the case filed by Jeremy Aguilar, the company's CFO, the company derives most of its revenue from 260 large format retail locations across 40 states, as well as from an e-commerce website.

The company said it plans to close 26 stores in connection with the restructuring.

Private equity firm Hellman & Friedman acquired the company in July 2021 in a take-private transaction. At first following the transaction, Aguilar said, "the company was experiencing a period of strong growth and financial performance, largely

due to macroeconomic and consumer trends during the COVID-19 pandemic, including strong home sales, nesting and de-urbanization, high demand for home décor products, and governmental stimulus support provided to customers.”

Aguilar continued, “This period of growth, however, slowed in the emerging aftereffects of the COVID-19 pandemic,” noting that in 2022 the company, “like many retailers, dealt with a number of financial and operational headwinds.” Aguilar specifically cited increasing inflation, softening demand in the home décor market, and shifting customer preferences away from brick-and-mortar locations as leading to pressure on the company’s liquidity.

In May 2023, the company completed a \$200 million capital raise through a private placement of new 11.5% senior secured notes issued by a foreign restricted subsidiary of the company (the Cayman Notes) and completed a related exchange of a majority of unsecured senior notes outstanding at the time funded by the issuance of roughly \$413 million of Exchange Notes (7.125% if paid in cash/8.625% if paid in-kind).

According to Aguilar, however, “Despite this infusion of new cash, unprecedented global impacts continued to frustrate the company’s existing business plan.”

The company next took steps to address the situation, including installing new senior management (including Aguilar), and seeking to renegotiate its prepetition ABL credit agreement ahead of its 2026 maturity. In February 2025, however, the prepetition ABL agent notified the company that its upcoming inventory appraisal could result in a reduction of the company’s borrowing base and the placement of certain reserves under the facility.

In the beginning of 2025, the company retained AlixPartners and Kirkland & Ellis “as it continued to assess its liquidity, monitor its cash position, and identify the best way to navigate forward.”

In March, Redwood Capital Management, Farallon Capital Advisors and Anchorage Capital Advisors “sent the company a comprehensive restructuring proposal that contemplated

Returns, data for the week ended June 18

	Performing Loans	CCC Loans	D Loans	S&P HY Index (SPUHYBD)	S&P HY Distressed Index (SPUHYDS)		Performing Loans	CCC Loans	D Loans	S&P HY Index (SPUHYBD)	S&P HY Distressed Index (SPUHYDS)
TOTAL RETURNS						INDEX STATISTICS					
Week ended 6/18/25	0.05%	-0.12%	-0.28%	0.00%	0.31%	Average bid					
Week ended 6/11/25	0.14%	0.27%	-0.72%	0.32%	-0.75%	As of 6/18/25	96.84	80.87	58.55	95.21	63.75
						As of 6/11/25	96.92	81.77	38.07	95.34	63.69
Month to date 6/18/25	0.26%	0.55%	-4.42%	0.66%	-1.32%	As of 6/18/24	97.18	83.77	23.68	92.81	62.08
Year to date 6/18/25	2.26%	1.17%	-17.74%	3.36%	-4.58%	Par outstanding (\$B)					
Year to date 6/18/24	4.31%	6.79%	-12.62%	2.68%	3.00%	As of 6/18/25	1,389.29	81.68	11.85	1,739.52	85.81
MARKET-VALUE RETURNS						As of 6/11/25	1,395.11	78.02	10.72	1,739.52	85.81
Week ended 6/18/25	-0.11%	-0.33%	-0.36%	-0.12%	0.09%	As of 6/18/24	1,292.65	98.61	12.99	1,644.42	108.54
Week ended 6/11/25	-0.02%	0.05%	-0.96%	0.19%	-0.96%	Market value outstanding (\$B)					
Month to date 6/18/25	-0.13%	0.00%	-4.81%	0.36%	-1.83%	As of 6/18/25	1,345.37	66.05	6.94	1,688.88	56.75
Year to date 6/18/25	-1.48%	-3.88%	-20.14%	0.32%	-9.34%	As of 6/11/25	1,352.19	63.80	4.08	1,688.87	56.57
Year to date 6/18/24	-0.14%	0.84%	-15.68%	-0.28%	-2.33%	As of 6/18/24	1,256.24	82.60	3.08	1,556.38	69.77
DEFAULT STATISTICS						Number of facilities					
(last 12 mos.)	Lagging 12-month default rate			Number of issuers		As of 6/18/25	1,245	123	15	2,344	137
May 2025	0.74%			14		As of 6/11/25	1,249	119	15	2,344	137
Apr 2025	0.73%			14		As of 6/18/24	1,305	148	20	2,323	146
May 2024	1.08%			21							

Sources: PitchBook | LCD; Morningstar LSTA US Leveraged Loan Index; S&P U.S. High Yield Corporate Bond Index

a nearly complete deleveraging of the capital structure and a new money investment,” Aguilar said.

In the midst of these efforts, however, the company was adversely affected by the Trump Administration’s tariffs, both those only proposed and those actually implemented, including the 10% across-the-board tariff and the crushing 145% tariff (since postponed, but still elevated at 55%) on Chinese goods.

“As a company that relies heavily on foreign suppliers, [At Home] was — and remains — significantly impacted by these tariff policies,” Aguilar said. “These newly imposed tariffs and the uncertainty of ongoing US trade negotiations intensified the financial pressure on the company, accelerating the need for a comprehensive solution.”

At this point, the company determined it would engage with the ad hoc group of lenders on a “comprehensive restructuring.” The ad hoc group was expanded to include Silver Rock Financial, Aryeh Capital Management and Glendon Capital Management.

Other bankruptcy news

Azul: Unsecured creditors’ committee appointed

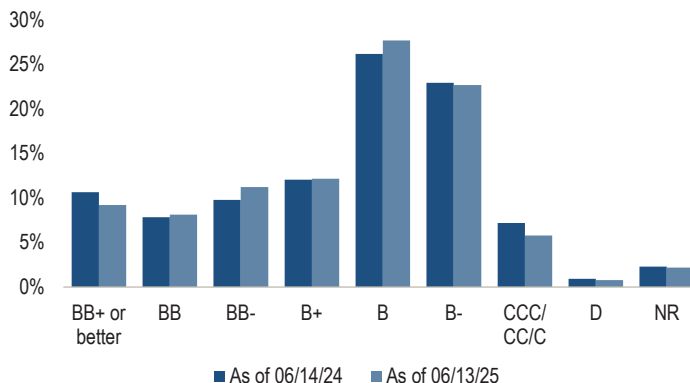
The US Trustee for the bankruptcy court in Manhattan has appointed an unsecured creditors’ committee in the Chapter 11 proceedings of Brazilian airline Azul SA, according to a June 13 notice filed in the case.

The members of the committee and their contact information are: Airbus S.A.S. (Attn: Paul Meijers, EVP Commercial Transactions, +336 03 61 87 97) (Blagnac, France); DAE Holding (Ireland) Limited (No contact name, +353 1 635 5000)(Dublin, Ireland); Sindicato Nacional dos Aeronautas (SNA) (Attn: Captain Tiago Rosa, President, (55) 11 5090-5100)(Sao Paulo, Brazil); Sky High XXIII Leasing Company Limited and Sky High L Leasing Company Limited c/o ICBC International Leasing Company Limited (Attn: Peng Hou, +353 87 3577230)(Dublin, Ireland); U.S. Bank Trust Company, N.A. (Attn: Dave Diaz, Vice President, dav.diaz@usbank.com, no phone number provided)(Washington, DC); Viasat, Inc. (Attn: Jeff Eddington, Associate General Counsel, (760) 893-5165) (Carlsbad, Calif.); and Willis Lease Finance Corporation (Attn: Z. Clifton Dameron IV, SVP & General Counsel, (561) 349-8963)(Coconut Creek, Fla.).

Willkie Farr & Gallagher has entered an appearance on behalf of the panel.

The company filed for Chapter 11 on May 28 to implement restructuring support agreements it reached “with its key

Morningstar LSTA Leveraged Loan Index by bank loan rating



Sources: PitchBook | LCD; market sources; Morningstar LSTA US Leveraged Loan Index

financial stakeholders, including its existing bondholders; largest lessor, AerCap, representing the majority of the company’s aircraft lease liability; and strategic partners, United Airlines and American Airlines.” The company said the reorganization would eliminate more than \$2 billion of debt.

Exela Technologies: Plan confirmation hearing pushed back five days, to June 23

Exela Technologies has delayed the combined hearing to confirm its reorganization plan and approve its disclosure statement to June 23, according to a notice filed in the case late last week.

The notice did not provide a reason for the delay.

The Houston bankruptcy court approved the company’s disclosure statement on a conditional basis on May 8, clearing the way for creditors to vote on the company’s reorganization plan. The combined hearing was initially set for June 18.

The reorganization plan is one of a series of transactions that, when completed, will result in the acquisition of the company by XBP Europe Holdings Inc. XBP Europe is a publicly traded, non-debtor affiliate of the company, with court filings showing that the debtor’s parent (which is not in Chapter 11), Exela Technologies Inc., indirectly owns roughly 60.7% of XBP.

Ligado Networks: Disclosure statement hearing reset to June 23

The bankruptcy court overseeing the Chapter 11 proceedings of Ligado Networks has reset a hearing on the adequacy of the company’s proposed disclosure statement for June 23, according to a notice filed in the case, with the company’s settlement with Inmarsat Global Limited announced last week clearing the path toward confirmation of a reorganization plan.

The company is seeking a plan confirmation hearing to be set for Aug. 7, with a voting deadline for creditors set at July 24.

A related hearing to approve the company's entry into a long-term deal with AST & Science LLC providing for AST to acquire certain usage rights to Ligado's L-band MSS spectrum, a deal the company has described as an "essential component" of its restructuring, was also reset to June 23.

The motion to approve the AST deal, however, had drawn the opposition of Inmarsat Global Limited, a competing global satellite company that claims it is owed more than \$500 million by the company in connection with an existing spectrum cooperation agreement. For its part, Ligado has filed a \$1.7 billion lawsuit against Inmarsat for its alleged failure to perform under the agreement.

On April 1, the bankruptcy court appointed retired Bankruptcy Court Judge Robert Drain as a mediator in the dispute. The settlement disclosed last week grew out of that mediation, according to an amended disclosure statement filed by the company on June 13.

The settlement is being implemented through amendments to the company's proposed deal with AST, court filings show.

Under the settlement reached with Inmarsat, AST will pay Inmarsat a total of about \$568 million for spectrum rights in the US and Canada, with \$420 million due on Oct. 31, \$100 million due on March 31, 2026, and \$15 million due upon closing and regulatory approval of the AST deal.

Ligado, meanwhile, will pay Inmarsat \$16 million in quarterly payments starting on Sept. 30, with future payments to be determined. Inmarsat will support regulatory approval of the AST deal.

In addition, the settlement establishes procedures for the resolution of remaining disputes between the company and Inmarsat in connection with Inmarsat's alleged non-performance under the existing cooperation agreement.

The company, formerly known as LightSquared, filed for Chapter 11 on Jan. 6 in bankruptcy court in Wilmington, Del., with an RSA in hand with holders of around 88% of its total debt.

Court documents show that Ligado entered bankruptcy with \$5.5 billion in first-lien notes, \$320 million in first-out term loans (which was incurred to provide the company with bridge financing), \$122 million of first-lien senior pari term loans, \$592 million in a 1.5-lien facility and \$2.05 billion in second-lien notes.

The reorganization plan provides that roughly \$7.8 billion of existing debt not otherwise repaid or rolled-up into the company DIP would be converted into new preferred equity on a dollar-for-dollar basis (with first-lien lenders receiving Series A-1 preferred units, 1.5-lien lenders receiving Series A-2 preferred units, and second-lien lenders receiving Series A-3 preferred units).

In addition to providing \$115 million in new money, the DIP repaid the first-out term loan in the amount of \$326 million and rolled up between \$442-497 million of first-lien obligations.

According to the amended disclosure statement, the company also said it would shortly file a motion seeking to increase the DIP in an amount up to \$550 million that would be used to reimburse AST for funds advanced in connection with payment obligations advanced by AST to pay Inmarsat pursuant to the Inmarsat settlement.

Selected upcoming bankruptcy hearings and deadlines

Company	Date	Court (Location)	Event/Deadline
Exela Technologies	6/23/2025	Houston	Hearing - Plan Confirmation
Ligado Networks	6/23/2025	Wilmington	Hearing - Disclosure statement
Ligado Networks	6/23/2025	Wilmington	Hearing - AST agreement
Rite Aid	6/23/2025	New Jersey	Hearing - Final DIP
Everstream Solutions	6/24/2025	Houston	Hearing - Motion to approve bid procedures
Rite Aid	6/24/2025	New Jersey	Auction - Non-pharmacy assets (if needed)
Forever 21	6/24/2025	Wilmington	Hearing - Plan confirmation
Rite Aid	6/30/2025	New Jersey	Hearing - Sale approval (non-pharmacy assets)
Sunnova Energy International	6/30/2025	Houston	Hearing - Bid procedures
Sunnova Energy International	6/30/2025	Houston	Hearing - Final DIP

Source: PitchBook | LCD

**The full 14-page report is
available through the
PitchBook Platform.**

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